Hard CAMS Exam Questions: Missing Topics Edition

Advanced AML Training

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Terrorist Financing (TF) Typologies

1. Funding Sources for Terrorism

A Financial Intelligence Unit analysis reveals that a domestic terrorism cell received multiple small-dollar wire transfers (200–400 each) from over 50 distinct individuals across three different countries. The senders have no apparent connection to each other or to the cell. No single transaction exceeds local reporting thresholds. What is the most accurate classification of this financing method?

A. Trade-based money laundering

B. Crowdfunding-enabled terrorist financing (micro-donations)

C. Black Market Peso Exchange adaptation

D. Structuring under FATF Recommendation 14

Correct Answer: B

2. NPO Abuse for TF

A non-profit organization registered in a low-risk jurisdiction receives a large donation from a foreign charity operating in a conflict zone. The local NPO then distributes funds to what appear to be community development projects, but transaction monitoring shows that 80% of the funds are withdrawn in cash within 48 hours of receipt at a branch located 300km from the NPO's registered address. What red flag is most indicative of terrorist financing?

A. Geographic distance from registered address

B. Cash withdrawal velocity mismatch with stated charitable mission

C. Donation from a foreign entity

D. Large donation amount

Correct Answer: B

3. FATF Recommendation 8 (NPOs)

Under FATF Recommendation 8, countries are required to apply targeted risk-based supervision of non-profit organizations. Which of the following is NOT a stated FATF focus area for NPOs vulnerable to TF?

A. NPOs operating without formal legal registration

B. NPOs with large cross-border fund transfers

C. NPOs whose expenditures do not align with their stated objectives

D. NPOs that pay all employees via direct deposit to regulated banks

Correct Answer: D

Proliferation Financing

4. UNSCR 1540 Obligations

United Nations Security Council Resolution 1540 (2004) requires member states to do which of the following with respect to proliferation financing?

A. Establish and enforce effective controls over chemical, biological, radiological, and nuclear (CBRN) weapons-related materials

B. Freeze all assets of any country developing nuclear weapons

C. Prohibit all cross-border trade in dual-use goods

D. Mandate that banks report all transactions involving any manufacturing sector

Correct Answer: A

5. Dual-Use Goods Red Flags

A compliance officer at a trade finance bank reviews a transaction involving the export of precision ball bearings, industrial-grade centrifuges, and nickel alloy tubing. The destination is a front company in a third country with no legitimate metalworking or aerospace industry. The end-user is listed as a university in a country under UNSC sanctions for nuclear weapons development. What is the correct risk classification?

A. Low risk – commodities are standard industrial goods

B. Proliferation financing red flag – potential nuclear weapons-related supply chain

C. Trade-based money laundering only

D. Sanctions evasion via real estate investment

Correct Answer: B

6. Sectoral Sanctions vs. Proliferation Financing

A bank processes a wire transfer for a Russian energy company that is not individually designated on the OFAC SDN list but is subject to EU sectoral sanctions due to deep-water oil exploration activities. The funds are destined for the company's subsidiary in a third country. Which compliance obligation applies?

A. No obligation because the entity is not on the SDN list

B. Prohibition of all transactions involving any Russian entity

C. Application of enhanced due diligence and, depending on jurisdiction, restriction on certain maturities or activities

D. Automatic freezing of all assets under UNSCR 1373

Correct Answer: C

Virtual Assets and VASPs

7. FATF Travel Rule for Virtual Assets

Under the FATF Updated Guidance (2021), which of the following is required for virtual asset transfers (crypto-to-crypto or crypto-to-fiat) exceeding a threshold (typically 1,000 USD/EUR)?

A. No requirement – crypto is anonymous by design

B. Originator and beneficiary information must be collected and shared with counterpart VASPs

C. Only the transaction hash must be recorded

D. The VASP must obtain a court order before any transfer

Correct Answer: B

8. Anonymity-Enhanced Cryptocurrencies (AECs)

A customer deposits Monero (XMR) into a VASP, immediately exchanges it for Bitcoin, and then sends the Bitcoin to a non-custodial wallet. The customer refuses to provide any explanation of the source of the XMR. Under FATF standards, how should the VASP treat this activity?

A. As a standard transaction because Monero is legal

B. As a high-risk indicator requiring EDD and potential SAR/STR filing

C. As a de minimis activity below any reporting threshold

D. As a request for simplified due diligence

Correct Answer: B

9. Decentralized Finance (DeFi) and AML Responsibility

Under the FATF's decentralized finance guidance, which entity bears AML/CFT obligations when a DeFi protocol is controlled or sufficiently decentralized but still has a "beneficial owner" or governing organization?

A. No entity – DeFi is unregulated globally

B. The individual developers if they retain control or significant influence

C. The blockchain protocol itself

D. All users of the protocol equally

Correct Answer: B

10. Mixers and Tumblers

A VASP detects that a customer sent funds through a non-regulated crypto mixing service before depositing to the VASP. The customer claims it was for "privacy protection." What is the proper AML response?

A. Accept the explanation – privacy is a right

B. Flag as high risk, apply EDD, and consider SAR filing due to obfuscation of transaction trail

C. Only take action if the amount exceeds $100,000

D. Automatically close the account without investigation

Correct Answer: B

Sanctions Screening and Evasion

11. OFAC 50% Rule

Company A is owned 50% by Individual X, who is on the OFAC SDN list. Company B is owned 50% by Company A and 50% by Individual Y (non-sanctioned). What is the sanctions status of Company B?

A. Not sanctioned because Individual Y owns 50% directly

B. Sanctioned by application of the 50% rule – Company A's 50% ownership of B makes B a blocked entity

C. Only Company A is blocked; B remains unrestricted

D. Requires OFAC specific license to determine

Correct Answer: B

12. Re-routing to Evade Sanctions

A bank in Country A identifies that a customer is shipping goods to Country B (sanctioned) but routing payments through a shell company in Country C (non-sanctioned), with invoices showing "transshipment to Country C" but bills of lading showing final destination Country B. What typology is this?

A. Trade-based money laundering

B. Sanctions evasion through transshipment

C. Black market peso exchange

D. Structuring of export declarations

Correct Answer: B

13. Secondary Sanctions Risk

A non-U.S. bank has no U.S. presence but processes a USD clearing transaction that indirectly benefits a person on OFAC's SDN list. The transaction does not touch the U.S. financial system. Under U.S. secondary sanctions policy, what risk does the bank face?

A. No risk because there is no U.S. nexus

B. Risk of being designated on OFAC's SDN list or losing correspondent access

C. Only a civil penalty, not criminal

D. The bank is automatically exempt under EU blocking statutes

Correct Answer: B

KYC/CDD/EDD Nuances

14. Beneficial Ownership of Trusts

A trust has the following structure: Settlor (individual A), Trustee (corporate trustee), Protector (individual B), Beneficiaries (individuals C, D, and E, each with 20% interest, remainder discretionary). Under FATF standards, who is the ultimate beneficial owner?

A. Only the settlor

B. Only the trustee

C. Settlor, protector, and any beneficiary with ¿25% interest; plus the trustee as legal owner

D. No UBO – trusts are exempt

Correct Answer: C

15. Legal Persons with Bearer Shares

A customer presents a corporate account application for a company incorporated in a jurisdiction that still allows bearer shares. The customer provides a notarized statement that the bearer shares have been immobilized with a licensed custodian. Under FATF Recommendation 24, is this sufficient for CDD?

A. Yes – immobilization fully mitigates risk

B. No – jurisdictions with bearer shares are automatically unacceptable

C. Possibly, but the bank must verify that the custodian can identify the bearer share holder at all times and that the jurisdiction prohibits future issuance

D. Only if the customer also provides audited financial statements

Correct Answer: C

16. Source of Funds vs. Source of Wealth

In Enhanced Due Diligence for a PEP, the client provides a detailed source of wealth (inheritance, business sale) but refuses to provide source of funds for a specific $5 million wire deposit. What is the correct action?

1. Accept source of wealth as sufficient
2. Reject the transaction because source of funds for the specific deposit is required under EDD
3. File a SAR but process the transaction
4. Request a waiver from the FIU

Correct Answer: B

FATF Effectiveness and Mutual Evaluations

17. Immediate Outcome 1 (IO.1)

In the FATF Mutual Evaluation process, Immediate Outcome 1 assesses: "Money laundering and terrorist financing risks are understood and, where appropriate, actions coordinated domestically." Which evidence best supports a positive rating for IO.1?

A. A thick legal code with criminalization of ML

B. A national risk assessment that is regularly updated and drives resource allocation

C. High number of STRs filed

D. Membership in the Egmont Group

Correct Answer: B

18. Technical Compliance vs. Effectiveness

A country has perfect laws on paper for all 40 FATF Recommendations but has never convicted a money launderer due to lack of political will. What is the likely FATF rating?

A. Compliant on Technical Compliance; Low on Effectiveness (e.g., IO.7 – ML investigations)

B. Non-compliant on Technical Compliance

C. Partially compliant on both

D. High on Effectiveness because laws exist

Correct Answer: A

19. FATF Grey List Consequences

When a jurisdiction is placed on the FATF "Increased Monitoring" list (Grey List), what is the most immediate practical impact for financial institutions dealing with that jurisdiction?

A. Complete prohibition of any transactions

B. Requirement to apply enhanced due diligence and potentially countermeasures

C. No impact – it is only a public statement

D. Automatic freezing of all assets from that jurisdiction

Correct Answer: B

Internal Controls, Auditing, and Whistleblowers

20. Independent Testing Scope

Under the FATF Standards and Wolfsberg principles, the independent audit function of an AML program must do which of the following?

A. Only review policies, not test transactions

B. Test the operational effectiveness of transaction monitoring, sanctions screening, and CDD implementation

C. Be performed by the same staff who design the AML software

D. Report to the Chief Compliance Officer exclusively

Correct Answer: B

21. Whistleblower Protections

A compliance analyst reports suspected money laundering internally. Three days later, the analyst is terminated for "performance issues." The analyst has documented evidence of retaliation. Under which framework is this violation most directly addressed?

A. FATF Recommendation 33 (Protection of whistleblowers)

B. Basel III capital requirements

C. EU GDPR data protection rights

D. Wolfsberg Correspondent Banking Due Diligence Questionnaire

Correct Answer: A

22. Recordkeeping Requirements

Under FATF Recommendation 11, how long must financial institutions retain records on transactions and customer identification?

A. 1 year from transaction date

B. At least 5 years from transaction date or account closure, whichever is later

C. 10 years from the date of SAR filing

D. Permanently for all accounts

Correct Answer: B

Cross-Border Correspondent Banking Nuances

23. Payable-Through Accounts (PTAs)

A respondent bank requests a payable-through account at a U.S. correspondent bank. The respondent bank's customers will have direct access to the correspondent's payment systems. Under U.S. regulations, what is the correspondent bank's primary obligation?

A. No special obligation – PTA is same as any correspondent account

B. Must apply all CDD requirements directly to the respondent bank's customers, including identifying the underlying accountholders

C. Only required to screen the respondent bank, not its customers

D. Must obtain a waiver from FinCEN

Correct Answer: B

24. Nesting Arrangements

A correspondent bank discovers that its respondent bank has allowed a third-party bank (not approved by the correspondent) to route payments through the correspondent account without disclosure. What is the most critical risk?

A. Operational inefficiency

B. Complete loss of visibility into ultimate originators and beneficiaries (due diligence gap)

C. Higher transaction fees

D. Breach of data privacy laws

Correct Answer: B

Money Mules and Human Trafficking Financial Indicators

25. Money Mule Recruitment Typology

An account shows multiple incoming peer-to-peer transfers from dozens of different individuals under $500 each, followed by immediate aggregated wire transfers to an offshore shell company account. The account holder is a college student with no verifiable income. What is the most likely typology?

A. Personal savings consolidation

B. Money mule account for layering stolen funds

C. Charitable donation collection

D. Cryptocurrency mining proceeds

Correct Answer: B

26. Human Trafficking Financial Red Flags

Which of the following transaction patterns is most indicative of human trafficking for forced labor rather than smuggling?

A. Single large wire transfer from a family to a coyote

B. Multiple small, regular payments from a corporate account to several individuals with the same surname, no employment contract on file

C. One-time cash deposit at an ATM

D. Purchase of airline tickets for a family vacation

Correct Answer: B

Conclusion – Mixed High-Difficulty

27. Reverse Correspondent Banking Risk

A small bank in a developing country maintains a correspondent account for a larger international bank (reverse correspondent). The international bank processes USD clearing through the small bank's account. What unique risk arises?

A. No unique risk – reverse correspondent is safer

B. The small bank may be used as a blind gateway into the larger bank's client base

C. The larger bank must close the account

D. Only foreign exchange risk exists

Correct Answer: B

28. Shell Bank Prohibition – USA PATRIOT Act Section 313

Under Section 313 of the USA PATRIOT Act, a "shell bank" is defined as:

A. Any bank with less than $100 million in assets

B. A bank that has no physical presence in any country and is not affiliated with a regulated financial institution

C. Any bank operating from a tax haven

D. A bank that only serves offshore companies

Correct Answer: B

29. Currency Transaction Reports (CTRs) and Structuring

A customer deposits $9,000 cash on Monday, $9,000 on Wednesday, and $9,000 on Friday. The bank files a CTR for the aggregate $27,000. However, the customer later sues the bank for violating his privacy. Under U.S. law, is the bank protected?

A. No – CTR filing requires customer consent

B. Yes – banks are required to file CTRs for aggregate cash transactions ¿ $10,000 in a single business day, and structuring itself is illegal

C. Only if the customer is a PEP

D. No – the bank should have filed a SAR instead

Correct Answer: B

30. FATF Recommendation 16 (Wire Transfer Rule)

Under FATF Recommendation 16, which of the following is NOT required information to accompany a cross-border wire transfer?

A. Originator's name

B. Originator's account number

C. Originator's country of birth

D. Originator's address or national ID number or date of birth

Correct Answer: C